

Black-Litterman Model

SLIBRARY 21 · SHEET 5 / 5

Blending views with market equilibrium

PROFESSIONAL DEFINITION

The Black-Litterman Model blends an investor's subjective views with the market-equilibrium expected returns to produce stable, intuitive portfolio allocations, addressing the instability of naïve mean-variance optimisation.

WHO DEVELOPED IT

Developed by Fischer Black and Robert Litterman at Goldman Sachs in the early 1990s.

WHY IT WAS DEVELOPED

It was developed to fix the extreme, unstable portfolios that pure Markowitz optimisation produces when fed noisy return estimates.

FIGURE 1 · BLACK-LITTERMAN MODEL



Figure 1. A schematic of the Black-Litterman Model as applied in BARBM312 (illustrative).

HOW IT IS USED

Market-implied returns are taken as a prior and adjusted by the investor's stated views with associated confidence, yielding balanced allocations.

WHEN IT IS USED

When constructing portfolios that combine market information with active views, including AI-generated signals.

BY WHOM IT IS USED

Quantitative portfolio managers and asset allocators.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

It married Bayesian reasoning with portfolio theory, producing robust allocations and a principled way to incorporate AI-derived views.

RELATED FRAMEWORKS IN THIS COURSE

Modern Portfolio Theory · Slibrary 21

Risk-Return Spectrum · Slibrary 21

Diversification Curve · Slibrary 21

Capital Asset Pricing Model · Slibrary 21

SOURCES (HARVARD REFERENCING STYLE)

Black, F. and Litterman, R. (1992) 'Global portfolio optimization', Financial Analysts Journal, 48(5).

He, G. and Litterman, R. (1999) 'The intuition behind Black-Litterman model portfolios', Goldman Sachs.